

Financial Market Inflation Expectations

—— 1/2025



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I. SUMMARY

Thirteen domestic and three foreign analysts took part in the first survey of financial market inflation expectations this year. The data obtained show that the opinion on inflation has changed very little at the one-year horizon, and closer convergence towards the 2% inflation target is expected at the three-year horizon. The domestic economic growth estimate for this year is slightly more optimistic, and economic growth should improve slightly further next year. The majority of the analysts expected the CNB Bank Board to cut key interest rates by 25 basis points at its February meeting. The shift in the koruna exchange rate forecast largely reflects its depreciation on the foreign exchange market. Nominal wages are expected to grow very slightly faster this year than in the December survey. Wage growth should slow slightly next year.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+											
Jan Vejrnělek, Komerční banka	+											
Patrik Rožumberský, Unicredit Global Research	+											
Helena Horská, Martin Kron, Raiffeisenbank	+											
Petr Dufek, Banka CREDITAS	+											
Petr Sklenář, J&T Banka	+											
Radomír Jác, Generali Investments CEE	+											
David Havrlant, ING	+											
Kamil Kovář, Moody's Analytics	+											
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+											
Jaromír Šindel, ČBA												
Lukáš Kovanda, Trinity Bank	+											
Michal Šoltés, RoklenFin	+											
Martin Janičko, MND	+											
Jan Bureš, ČSOB												
FOREIGN ANALYSTS												
Piotr Kalisz, Citi	+											
Basak Edizgil, Goldman Sachs	+											
Sili Tian, The Economist Intelligence Unit												
Jose A. Cerveira, JP Morgan	+											

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 27 January 2025

II. INFLATION

FORECAST FOR Y/Y CPI GROWTH

(%)

January 2025	CPI	
	1Y	3Y
minimum	1.5	2.0
average	2.3	2.1
maximum	2.9	2.5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
I.24	2.5	2.3	
II.24	2.4	2.3	1Q: 1.7
IV.24	2.2	2.2	2Q: 1.9
VII.24	2.1	2.1	
IX.24	2.2	2.1	3Q: 1.9
X.24	2.2	2.2	
XII.24	2.3	2.2	4Q: 2.4
I.25	2.3	2.1	

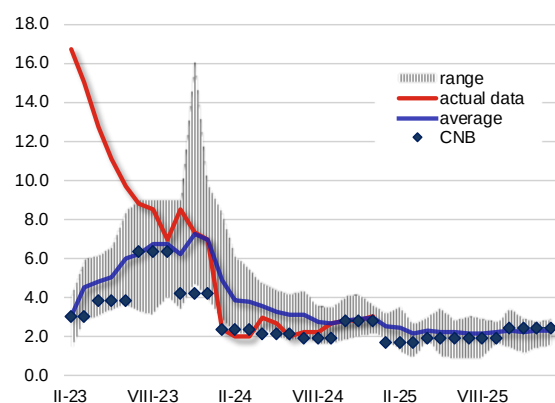
December's inflation came as a surprise, with the consumer price index rising by only 3.0% year on year. Although this was 0.2 percentage point higher than in November, it was still less than the consensus estimate. The acceleration in price growth can again be traced to more expensive housing, with rents and other services for routine apartment maintenance, such as water, sewerage, electricity, heat and hot water, increasing. Some food items, such as eggs and chocolate, recorded high price increases. Goods prices increased overall by 1.7%, while services inflation continued to grow at a relatively high pace, by 5.0%. Yet, in month-on-month terms, a weakening of inflation pressures is already apparent, with the consumer price index falling by 0.3%. Lower prices were recorded for selected fruits and vegetables, alcohol, meat and dairy items. Goods prices declined by 0.5% overall, while services prices remained at previous levels. Despite the December inflation figures, the annual average forecast in our survey remained unchanged at 2.3%. The three-year horizon saw a downward shift of 0.1 percentage point to 2.1%. The range of the estimates remained the same at both the one-year and three-year horizons. With the annual forecasts, both the extreme values increased very slightly, while in the case of the three-year forecasts they did not change at all.

Some of the analysts mainly attributed the surprisingly lower December inflation rate to developments in food prices, where there was a significant month-on-month decline. Nevertheless, they point out that food prices are highly volatile, so their movement in the opposite direction in the coming months cannot be ruled out. Despite relatively strong household demand and favourable labour market developments, inflation is expected to decline at the start of 2025 and then stay just above the 2% inflation target. Weak macroeconomic developments in Germany, which will also dampen domestic economic growth, could have an anti-inflationary effect. The inflation level will also heavily depend on price developments in services. In addition to food prices, energy prices are also a two-way risk that could cause fluctuation in the overall inflation figure.

The CNB's winter forecast expects consumer prices to rise by 2.2 % year on year in 2026 Q1.

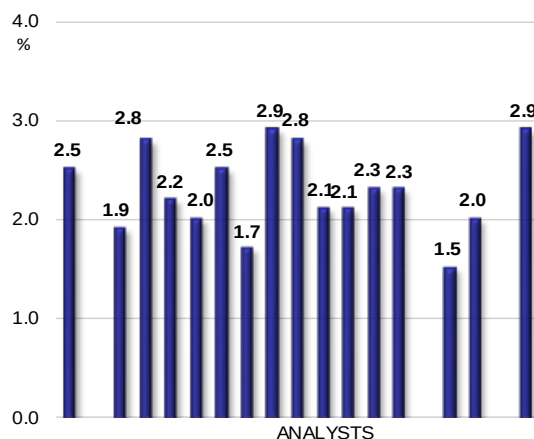
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

January 2025	current year	current+ 1Y
minimum	1.5	1.8
average	2.1	2.4
maximum	2.6	3.0

FORECAST FOR GDP GROWTH

(%)

Date of Prediction	current year	current+1Y
I.24	1.4	2.7
II.24	1.2	2.6
IV.24	1.2	2.6
VII.24	1.3	2.6
IX.24	1.0	2.5
X.24	1.0	2.4
XII.24	1.0	2.0
I.25	2.1	2.4

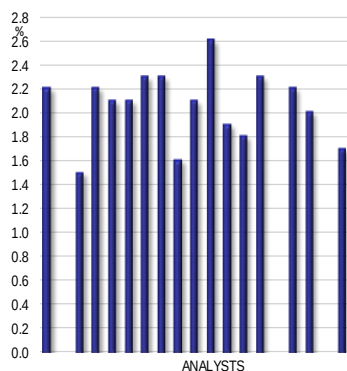
The CZSO refined its GDP growth estimate for Q3 this year. The year-on-year rate was increased by 0.1 percentage point to 1.4%, while the quarter-on-quarter rate was also increased by 0.1 percentage point to 0.5%. At the same time, newly published data indicate that the profit and investment rates of non-financial corporations declined. By contrast, both household real income and real consumption increased. The household investment rate edged up year on year, while the saving rate declined. However, the latter still remains at a high level (18.8%) compared to the pre-pandemic period. The analysts' view of GDP growth in 2025 is now slightly more optimistic, with the analysts on average expecting the Czech economy to grow by 2.1% year on year compared to the originally estimated 2.0%. The outlook for next year expects economic output to accelerate slightly to 2.4%. The range of the individual forecasts for this year widened slightly due to a rise in the maximum value.

The analysts thus continue to expect the economy to record a modest pick-up in growth. Household consumption, based as it is on low inflation, real wage growth and improved sentiment, should have a positive impact. Recovering foreign demand and the related rise in fixed investment could also have a positive impact if the German and European economies recover. However, the overall contribution of foreign trade to domestic economic growth will be dampened by growth in imports for consumption and investment. The dampening impact on domestic economic growth caused by the decline in previously accumulated inventories could subside. Despite efforts to consolidate public finances, fiscal policy is expected to have a slight upward effect on growth. The potential impacts of the new US administration's measures are an uncertainty.

According to the CNB's winter forecast, GDP will grow by 2.0% in 2025, accelerating to 2.4% in 2026.

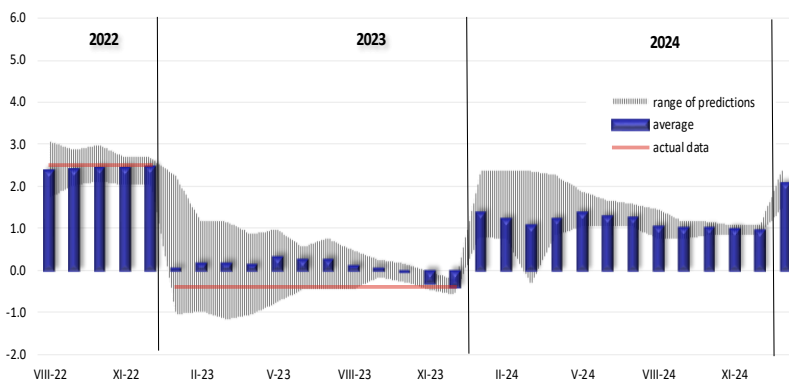
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
I.24	6.43	4.03	5.42	3.91	3.69	3.41	3.67	3.48
II.24	5.75	3.66	4.90	3.50	3.41	3.21	3.45	3.27
IV.24	5.29	3.49	4.31	3.47	3.71	3.33	3.81	3.45
VII.24	4.51	3.35	4.21	3.42	3.58	3.45	3.66	3.55
IX.24	4.25	3.36	3.73	3.34	3.29	3.39	3.43	3.50
X.24	4.01	3.25	3.67	3.28	3.38	3.35	3.53	3.50
XII.24	3.95	3.27	3.65	3.29	3.59	3.47	3.70	3.61
I.25	3.80	3.17	3.62	3.35	3.65	3.48	3.84	3.64

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

January 2025	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	3.75	2.75	3.50	2.75	3.55	2.70	3.68	2.90
average	3.80	3.17	3.62	3.35	3.65	3.48	3.84	3.64
maximum	4.00	3.50	3.74	3.70	3.80	3.90	4.10	4.00

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.1.	4.00	3.69	3.73	3.92

The vast majority of the analysts who took part in this year's first survey (13 out of 16) expected that key interest rates would fall at the February meeting of the CNB Bank Board, and that the 2W repo rate would be lowered by 25 basis points to 3.75%. The remaining three analysts believed that key interest rates would remain unchanged. The December inflation figure was the main reason for the further easing of the CNB's monetary policy. In addition, Deputy Governor Eva Zamrazilová also admitted the possibility of a further rate cut.

The February decrease in key interest rates might not be the last this year. The analysts believe that monetary policy easing could gradually continue until the 2W repo rate is lowered to 3.50% or, according to some estimates, down to 2.75% (see the table below). This is lower than forecasted a month ago. However, the outlook for the CNB's future key rates is burdened with a considerable amount of uncertainty, stemming from the subdued development of the German economy, the potential impacts of the new measures from the administration of President Donald Trump, and the cautious approach of the CNB Bank Board, which may prefer to end the monetary policy easing process in the Czech Republic at higher rates than currently estimated.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

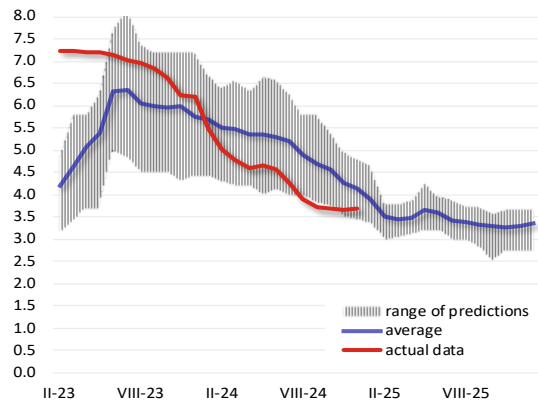
2W repo rate level in 1Y (%)	2.50	2.75	3.00	3.25	3.50	3.75	4.00
number of analysts - current survey	0	2	5	5	4	0	0
-previous survey	0	1	5	4	3	1	1

There was a slight decline in money market interest rates, probably as a result of a shift in views on monetary policy easing. A slight decrease was also recorded in the one-month forecast for the 12M PRIBOR reference interbank rate. IRS rates were more influenced by foreign developments and, on the contrary, recorded an increase, which is also reflected in their forecasts in our survey. The magnitude of the upward movement was between 2 and 13 basis points. However, swap rates are still projected to decline at the one-year horizon, as the one-year forecasts are below the one-month ones.

The CNB's winter forecast implies a 2W repo rate of 3.0% in 2026 Q1.

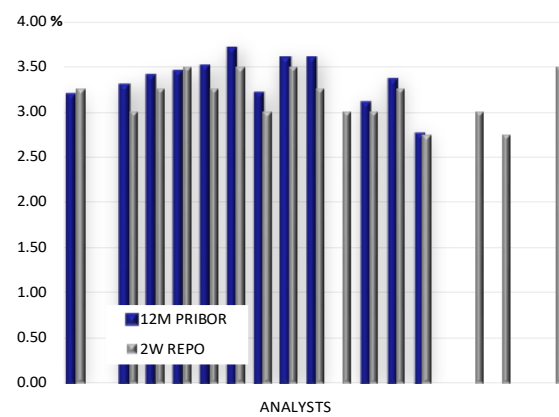
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



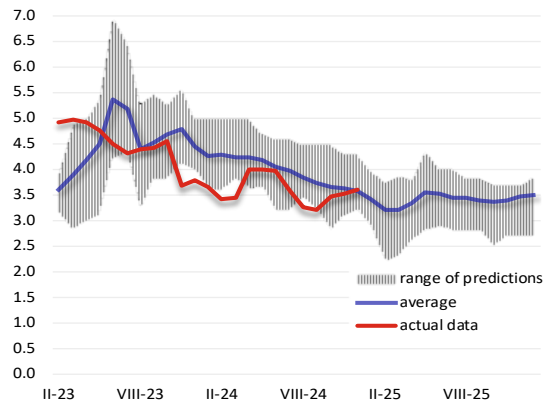
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



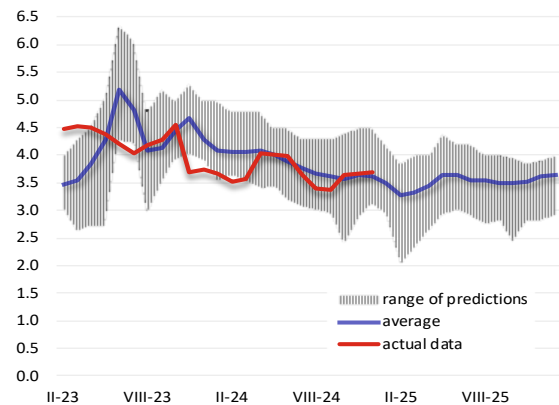
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
I.24	24.63	24.58
II.24	25.25	24.78
IV.24	25.28	24.74
VII.24	25.21	24.70
IX.24	25.07	24.75
X.24	25.16	24.62
XII.24	25.08	24.83
I.25	25.18	24.95

EXCHANGE RATE FORECAST

January 2025	EUR/CZK	
	1M	1Y
minimum	25.00	24.30
average	25.18	24.95
maximum	25.30	26.50

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.1.	25.22
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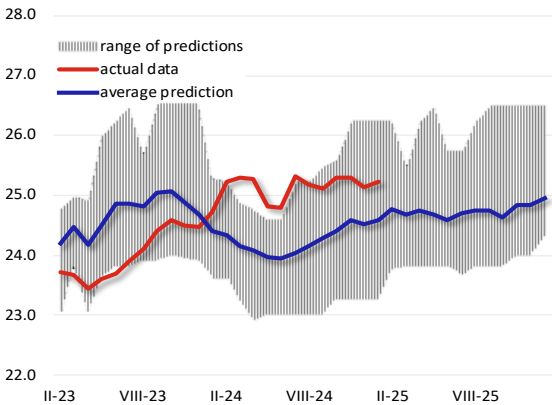
Since the closing date of the last survey (15 December), the koruna exchange rate has weakened by 20 hellers to CZK 25.22 to the euro. According to the analysts, several factors could have contributed to the koruna's depreciation. On the one hand, there have been speculations related to Donald Trump's accession to the presidency and relatively strong macroeconomic data from the USA, resulting in a strengthening of the US dollar and, conversely, a weakening of less important currencies, including the Czech koruna. On the other hand, it could have been a reflection of weak domestic economic growth, with the economy paying a heavy price for the unconvincing performance of the German economy.

The average forecast for the koruna exchange rate traditionally followed the latest developments on the foreign exchange market, shifting to weaker levels. At the one-month horizon, this was by 10 hellers to CZK 25.18 to the euro. In the case of the one-year forecast, this was by 12 hellers to CZK 24.95 to the euro. A gradual future appreciation of the koruna is therefore still expected, and should be aided by the recovery of the Czech and European economies and the cautious reduction of the CNB's key interest rates. However, this effect will be mitigated by a slow easing of monetary policy in the USA and concerns about the economic situation in the EU, which faces the risk of tariffs and whose automotive industry, and entire economy, are undergoing a downturn that could last longer than originally forecasted.

The CNB's winter forecast expects a koruna exchange rate of CZK 25.4 to the euro in 2026 Q1.

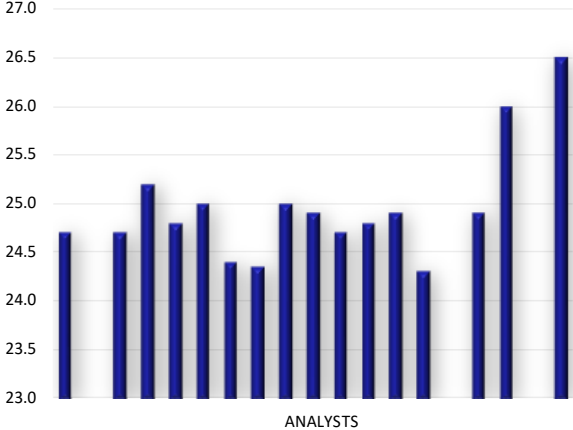
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH (%)

January 2025	current year	current+1Y
minimum	4.9	4.0
average	5.8	5.1
maximum	7.6	6.7

FORECAST FOR NOMINAL WAGE GROWTH (%)

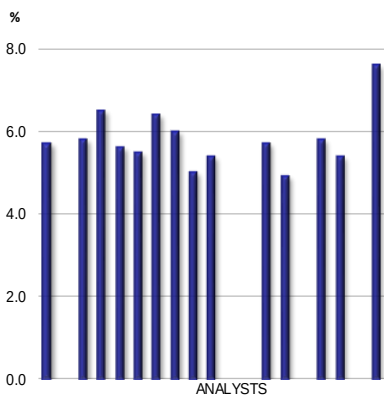
Date of Prediction	current year	current+1Y
I.24	6.3	5.2
II.24	6.2	5.2
IV.24	6.1	5.1
VII.24	6.8	5.4
IX.24	6.7	5.5
X.24	6.7	5.5
XII.24	6.8	5.7
I.25	5.8	5.1

According to the Labour Force Survey by the Czech Statistical Office, the share of unemployed persons in the economically active population increased by 0.1 percentage point to 2.8% in November last year. This is also 0.2 percentage point higher than a year before. The percentage of the economically active rose by 0.7 percentage point year on year to 77.6%. According to the Labour Office of the Czech Republic, the number of job seekers increased by 16,000 to more than 306,000 in December. The unemployment rate rose by 0.2 percentage point month on month to 4.1% at the end of last year. This was an increase of 0.4 percentage point from a year-on-year perspective. Despite this, the Czech Republic maintains the lowest unemployment rate in the EU.

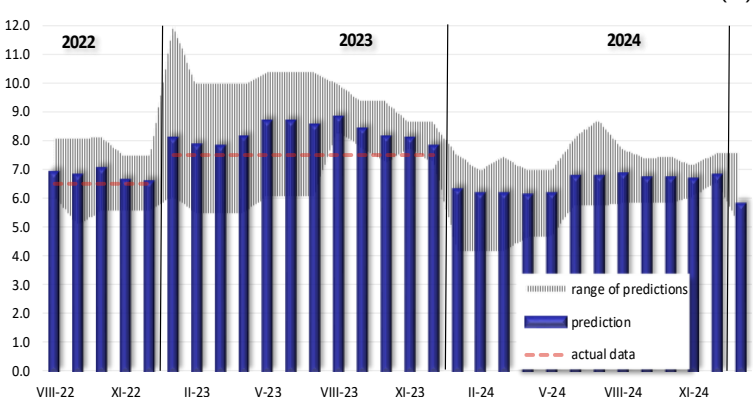
According to the analysts, the labour market remains relatively resilient, although it is facing slow economic growth, while persisting structural challenges are causing moderate growth in unemployment. According to some of the analysts, the unemployment rate may still increase slightly for this year as a whole, but should fall in the years ahead. However, the labour market situation is also affected by demographic factors and an ageing population, leading to a decline in the economically active population. According to the analysts, the current economic developments will cause nominal wages to rise by 5.8% on average this year, or 0.1 percentage point more than they had expected in December. Next year, the upward pressure on wages is expected to weaken and wage growth could slow to 5.1%. Some estimates assume that Czech households' purchasing power will not return to a level comparable to 2019 until 2026.

According to the CNB's winter forecast, nominal wages are expected to rise by 6.1% in 2025 and slow to 5.0% in 2026.

INDIVIDUAL 1Y PREDICTIONS
OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH
END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)



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